

Environmental, social and governance (ESG)

Environmental, social and governance (ESG) is a framework used to assess an organization's business practices and performance on various sustainability and ethical issues. It also provides a way to measure business risks and opportunities in those areas.

ESG's three core principles

As the number of ESG funds for managing investments increases, business and IT leaders are increasingly [paying attention to ESG](#) as a functional approach to doing business. Each aspect of ESG plays an important role in the effort to increase a company's focus on sustainable and ethical practices. The following are details on common ESG criteria companies and investors use.

Environmental

Environmental factors involve considerations of an organization's overall effect on the environment and the potential risks and opportunities it faces because of environmental issues, such as climate change and measures to protect natural resources. Examples of environmental factors that can be ESG criteria include the following:

- Energy consumption and efficiency.
- Carbon footprint, including [greenhouse gas emissions](#).
- Waste management.
- Air and water pollution.
- [Biodiversity loss](#).
- Deforestation.
- Natural resource depletion.

Social

[Social factors address how a company treats different groups of people](#) and its social impact, including employees, suppliers, customers and community members. The criteria used include the following examples:

- Fair pay for employees, including a living wage.
- Employee experience and engagement.
- Workplace health and safety.
- Data protection and privacy policies.
- Fair treatment of customers and suppliers.
- Customer satisfaction levels.
- Community relations, including the organization's connection to and impact on the local communities in which it operates.
- Funding of projects or institutions that help poor and underserved communities
- Support for human rights and labor standards.

Governance

Governance factors examine how a company polices itself, focusing on internal controls and practices to maintain [compliance](#) with regulations, industry best practices and corporate policies. Examples include the following:

- Company leadership and management.
- Board composition, including its diversity and structure.
- Executive compensation policies.
- Financial transparency and business integrity.
- Regulatory compliance and [risk management](#) initiatives.
- Ethical business practices.
- Rules on corruption, bribery, conflicts of interest, and political donations and lobbying.
- Whistleblower programs.